

My natural trade time horizon is one to three months, but that doesn't mean it would be right for you. Since I don't know you, I can't tell you what your trading style should be. But if you are willing to put in the effort, you can learn what that style should be. If I try to teach you what I do, you will fail because you are not me. If you hang around me, you will observe what I do, and you may pick up some good habits. But there are a lot of things you will want to do differently. A good friend of mine, who sat next to me for several years, is now managing lots of money at another hedge fund and doing very well. But he is not the same as me. What he learned was not to become me. He became something else. He became him.

Are there traits that determine who will be a successful trader?

Perseverance and the emotional resilience to keep coming back are critical because as a trader you get beaten up horribly. Frankly, if you don't love it, there are much better things to do with your life. You can't trade because you think it is a way to make a lot of money. That won't cut it. No one who trades for the money is going to be any good. If successful traders were only motivated by the money, they would just stop after five years and enjoy the material things. They don't. They continue well beyond any financial need. They can be somewhat obsessive. Trading is simply what they do. Jack Nicklaus has plenty of money. Why did he keep playing competitive golf well into his sixties? Probably because he really liked playing golf. He probably had a compulsive need to do it.

Are there trading rules you adhere to?

I use risk guidelines, but I don't believe in rules in that way. Traders who are successful over the long run adapt. If they do use rules, and you meet them 10 years later, they will have broken those rules. Why? Because the world changed. Rules are only applicable to a market at a specific time. Traders who fail may have great rules that work, but then stop working. They stick to the rules because the rules used to work, and they are quite annoyed that they are losing even though they are still doing what they used to do. They don't realize that the world has moved on without them.

Besides failure to adapt, what other mistakes get traders into trouble?